

Interim Financial Statements

For the period ended 31st March 2020



ACL PLASTICS PLC (PQ 87)

ACL PLASTICS PLC
CONSOLIDATED INCOME STATEMENT

for the period ended

	Quarter Ended			Twelve Months Ended		
	31.03.2020	31.03.2019	Change	31.03.2020	31.03.2019	Change
	Rs'000	Rs'000	%	Rs'000	Rs'000	%
Revenue	344,414	412,452	-16%	1,580,780	1,487,778	6%
Cost of sales	(299,210)	(372,919)	-20%	(1,347,910)	(1,409,329)	-4.4%
Gross profit	45,205	39,533	14%	232,870	78,449	197%
Other operating income	-	-	0%	932	2,901	-68%
	45,205	39,533	14%	233,802	81,351	187%
Administration cost	(1,446)	(1,862)	-22%	(7,006)	(5,422)	29%
Operating profit	43,759	37,671	16%	226,796	75,928	199%
Net finance (cost) / income	9,097	(2,244)	-505%	(1,669)	(18,568)	-91%
Profit before tax	52,856	35,427	49%	225,127	57,361	292%
Taxation	(29,297)	(2,170)	1250%	(53,502)	(27,563)	94%
Profit after tax	23,559	33,257	-29%	171,625	29,798	476%
Earnings per share (Rs)	5.59	7.89		40.74	7.07	

Above figures are provisional and subject to audit.

It is certified that these financial statements have been prepared in compliance with the requirements of Companies Act No 7 of 2007.

ACL PLASTICS PLC
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the period ended

	Quarter Ended		Twelve Months Ended	
	31.03.2020 Rs'000	31.03.2019 Rs'000	31.03.2020 Rs'000	31.03.2019 Rs'000
Profit for the period	23,559	33,257	171,625	29,798
Other comprehensive income/(expenses)				
Gains on revaluation of land and buildings	-	-	-	-
Deferred tax on revaluation	-	-	-	-
Acturial Loss on defined benefit obligation	-	-	(1,759)	1,188
Deferred tax on actuarial loss	-	-	493	(333)
Net change in fair value of available for sale financial assets	(4,954)	(345)	(3,777)	(1,971)
Other comprehensive income for the period, net of tax	(4,954)	(345)	(5,044)	(1,115)
Total comprehensive income for the period	18,605	32,912	166,581	28,683

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ACL PLASTICS PLC
COMPANY INCOME STATEMENT

for the period ended

	Quarter Ended			Twelve Months Ended		
	31.03.2020	31.03.2019	Change	31.03.2020	31.03.2019	Change
	Rs'000	Rs'000	%	Rs'000	Rs'000	%
Revenue	344,414	412,452	-16.5%	1,580,780	1,487,678	6.3%
Cost of sales	(299,210)	(372,960)	-19.8%	(1,347,910)	(1,408,434)	-4.3%
Gross profit	45,205	39,492	14.5%	232,870	79,244	193.9%
Other operating income	-	-	0.0%	932	706	32.1%
	45,205	39,492	14.5%	233,802	79,950	192.4%
Administration cost	(857)	(1,629)	-47.4%	(6,213)	(5,114)	21.5%
Operating profit	44,347	37,863	17.1%	227,589	74,836	204.1%
Net finance (cost) / income	2,126	-	100.0%	(8,640)	(25,214)	-65.7%
Profit/(loss) before tax	46,473	37,863	22.7%	218,949	49,622	341.2%
Taxation	(29,297)	-	100.0%	(53,502)	(25,560)	109.3%
Profit/(loss) after tax	17,177	37,863	-54.6%	165,446	24,062	587.6%
Earnings/(loss) per share (Rs)	4.08	8.99		39.28	5.71	

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ACL PLASTICS PLC
COMPANY STATEMENT OF COMPREHENSIVE INCOME

for the period ended

	Quarter Ended		Twelve Months Ended	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs'000	Rs'000	Rs'000	Rs'000
Profit for the period	17,177	37,863	165,446	24,062
Other comprehensive income/(expenses)				
Gains on revaluation of land and buildings	-	-	-	-
Deferred tax on revaluation	-	-	-	-
Acturial Loss on defined benefit obligation	-	-	(1,759)	1,188
Deferred tax on actuarial loss	-	-	493	(333)
Net change in fair value of available for sale financial assets	(4,954)	(345)	(3,777)	(1,971)
Other comprehensive income for the period, net of tax	(4,954)	(345)	(5,044)	(1,115)
Total comprehensive income for the period	12,223	37,518	160,402	22,946

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ACL PLASTICS PLC
STATEMENT OF FINANCIAL POSITION

as at

ASSETS

Non current assets

Property, plant & equipment	280,855	274,992	280,855	274,992
Pre-paid lease rentals	1,599	1,621	1,599	1,621
Investment in subsidiary company	-	-	10,000	10,000
Available for sale financial assets	17,109	20,886	17,109	20,886
Deferred tax asset	1,957	1,957	-	-

Current assets

Inventories	237,095	238,423	237,095	238,423
Trade & other receivables	908,992	557,456	884,285	532,456
Income tax refund due	-	3,640	-	3,640
Pre-paid lease rentals	22	22	22	22
Cash & cash equivalents	69,328	245,312	51,840	229,003

Total assets

EQUITY

Stated capital	79,975	79,975	79,975	79,975
Revaluation reserve	129,492	129,492	129,492	129,492
Revenue reserve	170,000	170,000	170,000	170,000
Other reserve	3,810	7,588	3,811	7,588
Retained profit	960,949	815,866	897,493	758,589
Shareholders' fund	1,344,226	1,202,920	1,280,770	1,145,643

LIABILITIES

Non current liabilities

Defined benefit obligations	18,213	13,907	18,213	13,907
Deferred tax liabilities	68,832	69,325	68,831.97	69,325
	87,046	83,231	87,045	83,231

Current liabilities

Trade & other payables	7,720	20,934	64,685	72,606
Income tax payable	44,262	27,662	16,600	-
Short-term import loans	33,703	9,562	33,703	9,562
	85,684	58,157	114,989	82,168

Total liabilities

Total equity and liabilities

	1,516,956	1,344,309	1,482,804	1,311,042
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Net asset value per share (Rs)

	319.10	289.95	304.04	276.39
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sgd.

Champika Coomasaru
Group Financial Controller

sgd.

U G Madanayake
Chairman

Colombo
24th June 2020

sgd.

Suren Madanayake
Managing Director

ACL PLASTICS PLC
STATEMENT OF CHANGES IN EQUITY

	Stated Capital Rs'000	Revaluation Reserve Rs'000	Revenue Reserve Rs'000	Other Reserve Rs'000	Retained Profit Rs'000	Total Rs'000
(a) Group						
Balance at 01st April 2019	79,975	129,492	170,000	7,588	815,865	1,202,920
Net profit for the period	-	-	-	-	171,625	171,625
Prior Year Adjustments	-	-	-	-	-	-
Actuarial gain / (loss) on defined benefit obligation	-	-	-	-	(1,759)	(1,759)
Differed tax on actuail gain/loss	-	-	-	-	493	493
Gains on revaluation of land and buildings	-	-	-	(3,777)	-	(3,777)
Net change in fair value of AFS financial assets	-	-	-	-	-	-
Total comprehensive income	-	-	-	(3,777)	170,358	166,581
Dividends paid	-	-	-	-	(25,275)	(25,275)
Balance at 31st March 2020	79,975	129,492	170,000	3,810	960,949	1,344,226
(b) Company						
Balance at 01st April 2019	79,975	129,492	170,000	7,588	758,588	1,145,643
Net profit for the period	-	-	-	-	165,446	165,446
Actuarial gain / (loss) on defined benefit obligation	-	-	-	-	(1,759)	(1,759)
Differed tax on actuail gain/loss	-	-	-	-	493	493
Gains on revaluation of land and buildings	-	-	-	(3,777)	-	(3,777)
Net change in fair value of AFS financial assets	-	-	-	-	-	-
Total comprehensive income	-	-	-	(3,777)	164,180	160,402
Dividends paid	-	-	-	-	(25,275)	(25,275)
Balance at 31st March 2020	79,975	129,492	170,000	3,811	897,493	1,280,770

	Stated Capital Rs'000	Revaluation Reserve Rs'000	Revenue Reserve Rs'000	Other Reserve Rs'000	Retained Profit Rs'000	Total Rs'000
(a) Group						
Balance at 01st April 2019	79,975	132,774	170,000	9,559	807,206	1,199,513
Net profit for the period	-	-	-	-	29,798	29,798
Revaluation surplus	-	-	-	-	-	-
Deferred tax on revaluation	-	-	-	-	-	-
Deferred tax impact on revaluation due to the change in tax rates	-	-	-	-	-	-
Actuarial gain / (loss) on defined benefit obligation	-	-	-	-	1,188	1,188
Deferred tax on actuarial gain / (loss)	-	-	-	-	(333)	(333)
Net change in fair value of AFS financial assets	-	-	-	(1,971)	-	(1,971)
Total comprehensive income for the period	-	-	-	(1,971)	30,653	28,682
Transfers upon disposals of AFS investments	-	-	-	-	-	-
Dividend Paid	-	-	-	-	(25,275)	(25,275)
Transfer from revaluation reserve	-	(4,558)	-	-	4,558	-
Deferred tax on transfer	-	1,276	-	-	(1,276)	-
Balance at 31st March 2019	79,975	129,492	170,000	7,588	815,865	1,202,920
(b) Company						
Balance at 01st April 2019	79,975	132,774	170,000	9,559	755,665	1,147,973
Net profit for the period	-	-	-	-	24,061	24,061
Revaluation surplus	-	-	-	-	-	-
Deferred tax on revaluation	-	-	-	-	-	-
Deferred tax impact on revaluation due to the change in tax rates	-	-	-	-	-	-
Actuarial gain / (loss) on defined benefit obligation	-	-	-	-	1,188	1,187
Deferred tax on actuarial gain / (loss)	-	-	-	-	(333)	(333)
Net change in fair value of AFS financial assets	-	-	-	(1,971)	-	(1,971)
Total comprehensive income for the period	-	-	-	(1,971)	24,917	22,946
Transfers upon disposals of AFS investments	-	-	-	-	-	-
Dividend Paid	-	-	-	-	(25,275)	(25,275)
Transfer from revaluation reserve	-	(4,558)	-	-	4,558	-
Deferred tax on transfer	-	1,276	-	-	(1,276)	-
Balance at 31st March 2019	79,975	129,492	170,000	7,588	758,589	1,145,643

Above figures are provisional and subject to audit.

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ACL PLASTICS PLC
STATEMENT OF CASH FLOWS

for the period ended

Cash flows from operating activities:

Operating profit before taxation

Adjustments for:

Depreciation

Interest expense

Interest income

Gratuity provision

Amortisation of lease pre-payments

Profit from sales of fixed assets

Profit from sales of shares

Dividend income

Operating profit before changes in working capital

(Increase) / Decrease in:

Inventories

Trade & other receivables

Increase / (Decrease) in:

Trade & other payables

Amount due to related companies

Cash generated from / (used in) operations

Tax (paid) / refund

WHT on dividend paid by subsidiary

Gratuity paid

Interest paid

Net cash generated from / (used in) operating activities

Cash flows from investing activities

Purchase of property, plant & equipment

Investment made during the year

Sales proceeds from disposal of fixed assets

Sales proceeds from disposal of market investments

Dividend received

Interest received

Net cash generated from / (used in) investing activities

Cash flows from financing activities

Dividend paid

Proceeds/(repayments) of import loans

Net cash generated from / (used in) financing activities

Net increase / (decrease) in cash & cash equivalents

Cash & cash equivalents at the beginning of the period

Cash & cash equivalents at the end of the period

The period end cash and cash equivalents comprise,

Cash at bank and in hand

	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs'000	Rs'000	Rs'000	Rs'000
	225,127	57,996	218,949	52,310
	15,644	17,594	15,644	17,594
	10,402	15,747	15,139	20,224
	(2,235)	(4,860)	-	(2,690)
	2,607	1,440	2,607	1,440
	22	22	22	22
	-	-	-	-
	-	-	-	-
	(932)	(706)	(932)	(706)
	250,636	87,234	251,429	88,194
	1,329	-	1,329	-
	(351,536)	2,038	(351,829)	-
	(13,214)	-	(7,921)	-
	-	-	-	-
	(112,785)	89,272	(106,993)	88,194
	(33,263)	(10,718)	(33,263)	(8,548)
	-	-	-	-
	(60)	-	(60)	-
	(10,402)	(15,747)	(15,139)	(20,224)
	(156,510)	62,807	(155,454)	59,422
	(21,508)	(17,616)	(21,508)	(17,616)
	-	-	-	-
	-	-	-	-
	-	-	-	-
	932	706	932	706
	2,235	4,860	-	2,690
	(18,341)	(12,051)	(20,576)	(14,221)
	(25,275)	(25,275)	(25,275)	(25,275)
	24,142	-	24,142	-
	(1,133)	(25,275)	(1,133)	(25,275)
	(175,984)	25,481	(177,163)	19,927
	245,312	244,151	229,003	227,830
	69,328	269,632	51,839	247,757
	69,328	244,151	51,840	227,830
	69,328	244,151	51,840	227,830

Above figures are provisional and subject to audit.

It is certified that these financial statements have been prepared in compliance with the requirements of Companies Act No 7 of 2007.

ACL PLASTICS PLC
NOTES TO THE FINANCIAL STATEMENTS

1. The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2020 and are in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting.
2. Where necessary, the presentation and classification of the financial statements of the previous periods have been adjusted for better presentation and to be comparable with the changes in presentation in the current year.
3. There have been no other events subsequent to the interim period, which require disclosure in the Interim Financial Statements.
4. There is no liability for Management Fees or any other similar expenditure.
5. There were no funds raised through an IPO/Rights/Debt issue.
6. There were no significant change in the nature of the contingent liabilities, which were disclosed in the Annual Report for the year ended 31 March 2020.
7. The Covid-19 outbreak since early 2020 has brought about additional uncertainties in the Company's operating environment and has impacted the Company's operations. Based on the available information, the management of the company has assessed the existing and anticipated effects of Covid-19 on the Group companies and the appropriateness of the use of the going concern basis.
The company has been closely monitoring the impact of the developments on the Company's business in the aspects of cost management, profitability, debt repayment, collection of cash and capital nature expenditure. Having evaluated the outlook of the industry, company has adopted new strategies to sustain successfully in the contemporary world.

NON FINANCIAL INFORMATION

1. Number of shares at 31st March 2020 - 4,212,500 (31st March 2019 - 4,212,500).
2. Market prices recorded during the quarter are as follows.

Highest price (Rs)	170.00
Lowest price (Rs)	115.00
Last traded price (Rs)	115.20
3. Twenty largest shareholding as at 31st December 2020 are as follows.

Name of the Shareholder	No of Shares	%
ACL Cables PLC	2,746,969	65.21%
Employees Provident Fund	153,063	3.63%
Seylan Bank PLC/S.R. Fernando	89,266	2.12%
Seylan Bank PLC/Emil Joseph	52,926	1.26%
Banise securities capital (pvt) ltd/ d. gangadhar	44,537	1.06%
Peoples Leasing Finance PLC /Mr.H.M. Abdulhuss	37,045	0.88%
Corporate Druids (Pvt) Ltd	36,604	0.87%
Costa D.S.J.V	30,395	0.72%
Abdulhussein R.H.	27,000	0.64%
Gautam R.	26,700	0.63%
Maheshwaran R.L.	25,743	0.61%
Bank of Ceylon-First Capital Equity Fund	25,000	0.59%
DFCC_ Mr Pranvan	25,000	0.59%
Corea E.	24,751	0.59%
Essajee Carimjee Insurance Brokers (Pvt) Ltd	24,000	0.57%
Corea Gihan Ahoka	23,625	0.56%
Nirmalan R	22,770	0.54%
Madanayake H.A.S.	20,801	0.49%
Abdulhussein Y.H.	20,000	0.47%
Hatton National Bank/ Arunasalam	20,000	0.47%
(All are voting shares)		

4. The number of shares held by the Board of Directors as at 31st December 2020 are as follows.

Name of the Director	No of Shares	%
Mr. U G Madanayake - Chairman	1	-
Mr. Suren Madanayake - Managing Director / CEO	20,801	0.49%
Mrs. N C Madanayake	17,751	0.42%
Dr. D.G.K.E. Weerapperuma	-	-
Mr. Piyadasa Miriyagalla	-	-

5. The public holding percentage as at 31st March 2020 1,426,978 33.87%
6. Number of Public shareholders as at 31st March 2020 844
7. Float Adjusted Market Capitalization 55,686,141
8. The Company complies with option 5 of the Listing Rules 7.13.1 (a) – Less than Rs 2.5 Bn Float Adjusted Market Capitalization which requires 20% minimum Public Holding.